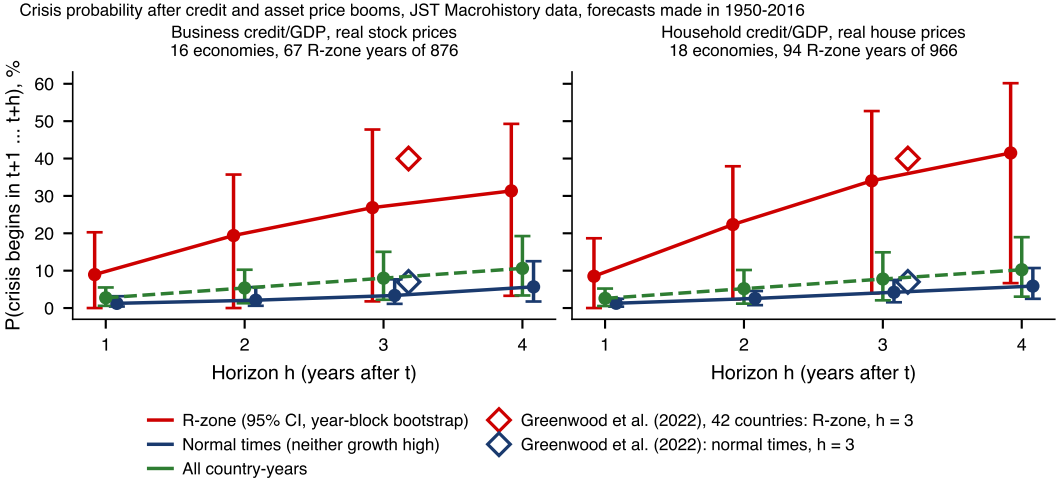
Crisis probability after credit and asset price booms, JST Macrohistory data, forecasts made in 1950-2016
Business credit/GDP, real stock prices
16 economies, 67 R-zone years of 876
Household credit/GDP, real house prices
18 economies, 94 R-zone years of 966
P(crisis begins in t+1 ... t+h), %
0
10
20
30
40
50
60
1
2
3
4
Horizon h (years after t)
R-zone (95% CI, year-block bootstrap)
Normal times (neither growth high)
All country-years
Greenwood et al. (2022), 42 countries: R-zone, h = 3
Greenwood et al. (2022): normal times, h = 3